

Before the  
FEDERAL MARITIME COMMISSION  
Washington, D.C. 20573



Docket No. 21-04

GREATWAY LOGISTICS GROUP, LLC. v. OCEAN NETWORK EXPRESS PTE. LTD.

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COMPLAINT

**I. THE COMPLAINANT**

1. Complainant Greatway Logistics Group, LLC ("Greatway") is a Florida limited liability company with its principal place of business at 10544 NW 26th Street, Suite E201, Doral, FL, 33172. Greatway is a non-vessel operating common carrier with an OTI license No. 026938.

**II. THE RESPONDENT**

2. Respondent Ocean Network Express Pte. Ltd. ("ONE") is a company organized under the laws of Singapore with its principal place of business at 7 Straights View, #16-01 Marina One East Tower, Singapore, 018936. ONE is a vessel-operating common carrier with license number 027043.

**III. JURISDICTION AND LEGAL AUTHORITY**

3. Greatway brings this action under the Shipping Act of 1984, (46 U.S.C.. §§ 40101 *et seq.*), and as amended (the "Shipping Act"), and in conformity with 46 C.F.R. § 545.5 - Interpretation of Shipping Act of 1984 - Unjust and unreasonable practices with respect to demurrage and detention.
4. The underlying action arises from a lawsuit filed by ONE in the U.S. District Court, Southern District of Texas, Houston Division against Greatway that seeks to recover accrued freight/demurrage/storage fees arising under bills of lading ("BOLs") nos. ONEYSAOU24000400 and ONEYSAOU24596300, which is a violation 46 U.S.C. § 41102(c), 46 C.F.R. § 545.4(d) and 46 U.S.C. § 41104(a)(4)(E).
5. This Commission has subject matter jurisdiction over these controversies pursuant to the Shipping Act of 1984 (46 USC §§ 40101 *et seq.*), and as amended. This Commission has personal jurisdiction over ONE as an ocean common carrier, as defined in 46 U.S.C. § 40102.

#### IV. FACTS

6. Greatway's role in the subject shipments was merely to arrange for customs clearance by a licensed customs broker for the Consignee, Pacific Lumber Resources, Inc. ("PLR"). It was not a party to either bill of lading ("BOL") and did not consent to their terms and conditions.

##### A. BOL No. ONEYSAOU24000400

7. For BOL No. ONEYSAOU24000400, South Service Trading S.A. ("South Service") was listed as the Shipper, PLR was listed as the Consignee, and Greatway was listed as the Notify Party after its name was given to ONE by AGL Transportes Internacionais Ltda-EPP ("AGL").
8. Sometime before October 9, 2018, ONE was booked by AGL to transport a shipment of pine plywood from Brazil to the Port of Houston. On October 9, 2018, ONE emailed AGL requesting the information for the Notify Party.
9. ONE issued the BOL on October 13, 2018, and on October 15, 2018, AGL told ONE to list Greatway as the Notify Party.
10. ONE transmitted the BOL to Greatway on November 2, 2018. This was the first notice Greatway had of the BOL. Nonetheless, Greatway asked the customs broker to file the ISF, and the customs broker filed the ISF and entry summary that same day. The shipment arrived on November 6, 2018.
11. On November 21, 2018, ONE asked Greatway for the surrender of the original BOL. Then, on December 3, 2018, AGL asked ONE to change the consignee on this BOL (ONEYSAOU24000400) and another BOL (ONEYSAOU24596300).
12. On December 6, 2018, ONE again asked Greatway for the surrender of the original BOL, and ONE told Greatway the shipper wanted to change the Consignee. Greatway responded that "[t]he cargo ha[d] already been nationalized into the United States in another consignee's name."
13. On December 7, 2018, ONE wrote to PLR asking for assistance in having the original BOLs surrendered for both ONEYSAOU24000400 and ONEYSAOU245963000.
14. On December 10, 2018, ONE asked Greatway to explain how the cargo had been nationalized into the US in another consignee's name. Greatway informed ONE that the cargo had been nationalized in the name of PLR, the original consignee on the BOL and that Greatway would not allow changes to the BOLs.
15. On December 11, 2018, ONE wrote to Greatway advising BOL had not been received and requesting that Greatway "please assist as the demurrage charges are accruing daily."
16. PLR did not pick up the cargo until late January 2019.
17. On January 25, 2019, ONE invoiced PLR demurrage and storage.

18. Before filing the lawsuit in the Southern District of Texas, ONE had not invoiced Greatway for demurrage or storage nor made a demand on Greatway regarding this BOL.
19. The charges ONE unjustly seeks to collect from Greatway under this BOL in the ongoing litigation in the Southern District of Texas are \$112,925.00.

**B. BOL No. ONEYSAOU24596300**

20. For BOL No. ONEYSAOU24596300, Evolution Comercial Exportadora (“Evolution”) was listed as the Shipper, PLR was listed as the Consignee and Notify Party. Greatway did not appear anywhere on this BOL.
21. Sometime before October 20, 2018, ONE was booked by AGL to transport a shipment of pine plywood from Brazil to the Port of Houston.
22. ONE never transmitted the BOL to Greatway. On November 14, 2018, Greatway received the BOL from PLR. The shipment arrived on November 15, 2018.
23. On December 3, 2018, AGL asked ONE to change the consignee on both BOLs (ONEYSAOU24000400 and ONEYSAOU24596300).
24. On December 6, 2018, ONE told Greatway the shipper wanted to change the Consignee. Greatway responded that “[t]he cargo ha[d] already been nationalized into the United States in another consignee’s name.”
25. On December 7, 2018, ONE wrote to PLR asking for assistance in having the original BOLs surrendered for both ONEYSAOU24000400 and ONEYSAOU245963000.
26. On December 10, 2018, ONE asked Greatway to explain how the cargo had been nationalized into the US in another consignee’s name. Greatway informed ONE that the cargo had been nationalized in the name of PLR, the original consignee on the BOL and that Greatway would not allow changes to the BOLs.
27. PLR did not pick up the cargo until late January 2019.
28. On January 25, 2019, ONE invoiced PLR demurrage and storage.
29. Before filing the lawsuit in the Southern District of Texas, ONE had not invoiced Greatway for demurrage or storage nor made a demand on Greatway regarding this BOL.
30. The charges ONE unjustly seeks to collect from Greatway in the ongoing litigation in the Southern District of Texas under this BOL are \$98,950.00.

**C. LAWSUIT FILED MAY 18, 2020 BY ONE AGAINST GREATWAY**

31. On May 18, 2020, ONE filed a lawsuit against Greatway and other parties in United States District Court for the Southern District of Texas claiming Greatway is jointly and severally liable for the accrued freight/demurrage/storage fees. The lawsuit is styled as OCEAN

NETWORK EXPRESS (NORTH AMERICA) INC. AND OCEAN NETWORK EXPRESS PTE. LTD. v. PACIFIC LUMBER RESOURCES, INC., SOUTH SERVICE TRADING S.A., GREATWAY LOGISTICS GROUP, LLC, EVOLUTION COMERCIAL EXPORTADORA LTDA., AGL TRANSPORTES INTERNACIONAIS LTDA-EPP, AND AGL CARGO LLC with case No. 4:20-CV-1734 (hereinafter referred to as “the Texas Lawsuit”).

32. ONE alleges Greatway is a “Merchant” pursuant to the terms and conditions of its BOLs and therefore liable to ONE for the \$211,875.00 in freight/demurrage/storage fees.
33. ONE’s BOL Terms and Conditions defines “Merchant” as “the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers (“NVOCCs”), and freight forwarders.”
34. ONE claims that Greatway is liable for these charges on the theory that Greatway is an agent of PLR.
35. ONE has dismissed South Service and Evolution from the lawsuit without reaching a settlement.
36. ONE has dismissed AGL and AGL’s U.S. related company from the lawsuit after reaching a settlement for an unknown sum.
37. ONE has settled with PLR and is expected to dismiss PLR from the lawsuit.

## **V. VIOLATION OF THE SHIPPING ACT**

38. Greatway was not a party to the contract of carriage in the BOLs and cannot be bound to the terms of the BOL. Greatway was “neither a party nor privy to the bill of lading, and therefore, under traditional principles of contract law, is not bound by its provisions, absent consent to be bound.” United States v. Waterman S.S. Corp., 471 F.2d 186, 188 (5th Cir. 1973).
39. Under the law of agency, an agent who contracts for an undisclosed principal is liable for breach of contract “just as though he was the principal.” Orient Mid-East Lines v. Albert E. Bowen, Inc., 458 F.2d 572, 575 (2d Cir. 1972), quoting Restatement (Second) Agency §§ 4, 321. An agent can only be liable if it signs a contract on behalf of the principal *and* it fails to disclose the identity of principal. See Port Ship Serv., Inc. v. Int’l Ship Mgmt. & Agencies Serv., Inc., 800 F.2d 1418, 1420–21 (5th Cir. 1986) (“Under the Restatement, an agent is liable as a party to the contract when the other party has notice that the agent is or may be acting for a principal, but the other party has no notice of the principal's identity.”).
40. Greatway did not contract with ONE on behalf of PLR. Further, Greatway acted for a disclosed principal, PLR, to facilitate customs clearance.

41. 46 U.S.C. § 41102(c) prohibits a common carrier or ocean transportation intermediary from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."
42. ONE's attempt to expand the definition of "Merchant" to reach parties other than the shipper and the carrier clearly violates the principle the Court found in *Waterman* that "[a] party cannot unilaterally employ definitions to bind another by provisions to which the other has not consented to be bound." Waterman S.S. Corp. at 189 n.4 (5th Cir. 1973).
43. ONE's practice of billing Consignee and then making a judicial demand on third parties for freight/demurrage/storage costs is unjust and unreasonable. Prior to the filing of the lawsuit, ONE neither invoiced Greatway for freight/demurrage/storage nor made a demand on Greatway.
44. ONE's judicial demand on Greatway for freight/demurrage/storage charges arising under two separate bills of lading, in addition to its rejection of Greatway's offer of judgment, and failed mediation attempts demonstrate that ONE normally, customarily, and continuously seeks to unreasonably and unjustly expand the definition of "Merchant" to reach parties who are not contractually obliged to the terms and conditions of ONE's BOLs.
45. ONE refused to release the cargo until payment of freight expenses that were not within the scope of responsibilities of Greatway was made. Greatway had no means of mitigating any of the accrued freight/demurrage/storage charges since it did not have actual or constructive control of the cargo when the charges incurred.
46. The Interpretive Rule on Demurrage and Detention Under the Shipping Act ("The Interpretive Rule"), now codified in 46 C.F.R. § 545.5, determines that this Commission will consider "the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." § 545.5(c)(1).
47. Given that Greatway's role in the subject shipments was merely to arrange for customs clearance, which it did successfully, holding it liable for demurrage and detention charges would do nothing to advance the purpose of promoting freight fluidity. To the contrary, holding Greatway liable for demurrage charges will hinder freight fluidity because it will discourage customs brokers and ocean transportation intermediaries from facilitating the flow of freight.
48. In light of The Interpretive Rule, ONE's practice of collecting demurrage and detention charges from nonparties to the bills of lading is unjust and unreasonable.
49. 46 U.S.C. § 41104(a)(4)(E) prohibits a common carrier from engaging in an unfair or unjustly discriminatory practice in the matter of adjustment and settlement of claims.
50. ONE's practice of adjustment and settlement of claims is unfair and unjustly discriminatory: it absolves foreign shippers from the responsibility for freight/demurrage/storage costs yet pursues an agent for disclosed principal simply due to the agent's physical presence in the U.S.

## **VI. CAUSATION AND DAMAGES**

51. Greatway is not contractually liable to ONE for the freight/demurrage/storage. The circumstances surrounding the demurrage/storage were such that they were beyond the control of Greatway.
52. ONE's unjust and unreasonable attempts to recover the accrued freight/demurrage/storage fees from Greatway directly violate 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d).
53. ONE's adjustment of its claims against foreign shippers to zero while maintaining a lawsuit against a nonparty to the bills of lading violates 46 U.S.C. § 41104(a)(4)(E).
54. As a result of ONE's unjust and unreasonable actions, Greatway was forced to obtain counsel to defend itself and has incurred \$29,679.70 of economic injury in the form of attorney's fees and costs.
55. Greatway seeks reparations in pursuant to 46 U.S.C. § 41305 for its actual injury, interest, and attorney's fees incurred in defending the Texas Lawsuit.

## **VII. REQUEST FOR RELIEF**

56. Complainant Greatway prays that Respondent ONE be required to answer the charges herein; that, after due hearing, an order be entered commanding ONE to: (1) cease and desist from its violations of the Shipping Act; (2) pay reparations to Greatway for all damages arising from ONE's unlawful actions, including its attorney's fees with interest, as provided for under 46 U.S.C. §§ 41305(b), (e); (3) indemnify for any other damages and sums that the Commission determines to be proper; and (4) that the Commission make any further orders as it determines to be appropriate.

Dated: May 25, 2021

Respectfully submitted,  
**THE MOONEY LAW FIRM, LLC**

*Shanshan Liang*

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VERIFICATION

STATE OF FLORIDA )

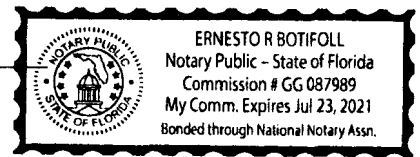
) SS:

COUNTY OF MIAMI-DADE )

Richard Robinson being first duly sworn on oath deposes and says that he is the Complainant, and is the person who signed the foregoing complaint; that he has read the complaint and that the facts stated therein, upon information received from others, affiant believes to be true.

Subscribed and sworn to before me, a notary public in and for the State of Florida in Miami-Dade County this 25th day of May, 2021.

Ernesto R Botifoll  
NOTARY PUBLIC  
State of Florida at Large



Ernesto R Botifoll  
Print Name

My Commission Expires: 7/23/21  
Commission No.: GG087989